JANUARY 15, 2015

One announcement. The franc jumped 30%+.

> At one point, in a single day.

@bino_da_producer

Swipe →

Since 2011, the franc was capped.

1.20

francs per euro: the Swiss National Bank's cap, set September 2011

Traders treated it like a law of nature.

> Many borrowed heavily against it.

With no warning, the cap was gone.

2011	Cap set at 1.20 (September)
Jan 15	Cap scrapped, rate to −0.75%
Jan 19	UK broker Alpari insolvent

The franc ended the day about 15% stronger.

INTRADAY PEAK

More than 30%

BY THE CLOSE

About 15%

FXCM was left short:

$225M+

Client losses blew through their deposits at the largest U.S. retail FX broker

Leucadia lent FXCM $300 million.

> UK broker Alpari filed for insolvency on January 19.

The "safe" bet was the dangerous one.

> Leverage turns a rare event into your last event.

Your leverage check:

1. Know if any investment is borrowed
2. Write down your worst-case loss
3. Never rely on someone else's promise